

BLUESTOCK FINTECH

Stock Market Fundamentals &
Financial Statement Analysis

Company Analysed: Infosys Limited

Analysis Period: FY2024 – FY2026

Reporting Basis: Consolidated IFRS

Data Analytics Internship – Week 2 Prerequisite

Prepared for Bluestock Fintech

1. Stock Market Fundamentals

Concept	Summary
Stock Market	A marketplace where shares and other securities of publicly listed companies are bought and sold.
NSE & BSE	NSE (National Stock Exchange) and BSE Ltd. are India's major stock exchanges where listed securities are traded.
Nifty & Sensex	Nifty 50 tracks 50 major companies listed on NSE, while Sensex tracks 30 major companies listed on BSE.
IPO & SME IPO	An IPO is a company's first public offering of shares. An SME IPO is an IPO route for eligible small and medium enterprises.
Market Capitalization	Market value of a company's outstanding shares. Formula: $\text{Share Price} \times \text{Outstanding Shares}$.
PE Ratio	Price-to-Earnings ratio compares market price per share with earnings per share. $\text{PE} = \text{Market Price} \div \text{EPS}$.
PB Ratio	Price-to-Book ratio compares market value with book value. $\text{PB} = \text{Market Price} \div \text{Book Value per Share}$.
EPS	Earnings Per Share represents earnings attributable to each outstanding share.
Dividend	A portion of company profits distributed to shareholders.
Bonus & Stock Split	Bonus shares are additional shares issued to existing shareholders. A stock split increases the number of shares while proportionally reducing the price per share.
Trading Volume	Number of shares traded during a specified period; it indicates the level of market activity.

Company Financial Statements

Balance Sheet: Shows assets, liabilities and shareholders' equity. **Assets = Liabilities + Equity.**

Profit & Loss Statement: Shows revenue, expenses, operating profit, profit before tax and net profit.

Cash Flow Statement: Shows cash generated and used through operating, investing and financing activities.

Basic ratios include Net Profit Margin, Current Ratio, Debt-to-Equity, ROE and PE Ratio.

Why this matters for Data Analysts: Financial concepts allow analysts to interpret market datasets, identify trends, calculate KPIs and communicate business insights.

2. Infosys Limited – Financial Statement Analysis

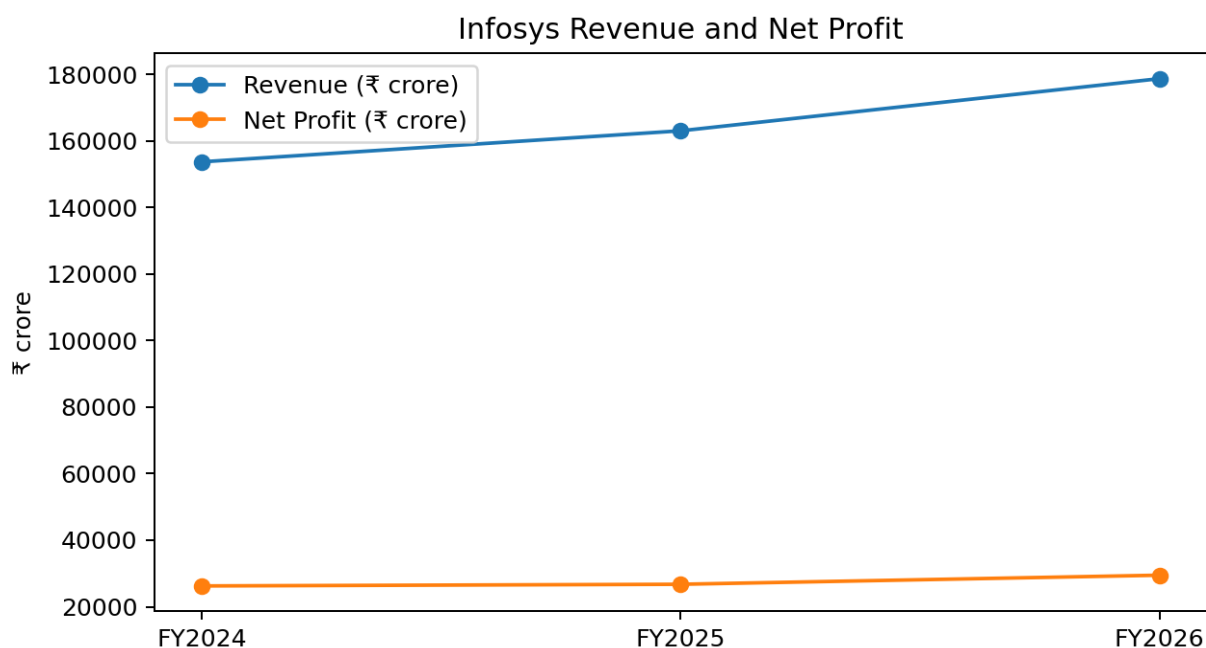
Company: Infosys Limited **Industry:** Information Technology Services

The analysis uses Infosys' consolidated IFRS three-year financial data for FY2024–FY2026. All monetary figures are in **₹ crore** unless stated otherwise.

2.1 Profit & Loss Analysis

Particular	FY2024	FY2025	FY2026
Revenue	153,670	162,990	178,650
Gross Profit	46,257	49,643	53,915
Operating Profit	31,747	34,424	36,254
Profit Before Tax	35,988	37,608	39,995
Net Profit	26,248	26,750	29,474
Profit attributable to owners	26,233	26,713	29,440
Basic EPS (₹)	63.39	64.50	71.58

Interpretation: Revenue increased from **₹153,670 crore** in FY2024 to **₹178,650 crore** in FY2026. FY2026 revenue growth was 9.6%, while net profit growth was 10.2%. Basic EPS increased 11.0% to **₹71.58**.



2.2 Balance Sheet Analysis

Particular	FY2024	FY2025	FY2026
Cash & Cash Equivalents	14,786	24,455	22,201
Current Investments	12,915	12,482	12,950
Net Current Assets	50,638	54,249	51,167
Non-current Assets	48,382	51,804	52,478
Total Assets	137,814	148,903	155,967
Non-current Liabilities	10,559	9,850	10,348
Total Equity	88,461	96,203	93,297

Interpretation: Total assets increased to ■155,967 crore in FY2026. Infosys reported consolidated cash and investments of approximately ■43,075 crore, supporting its strong liquidity position.

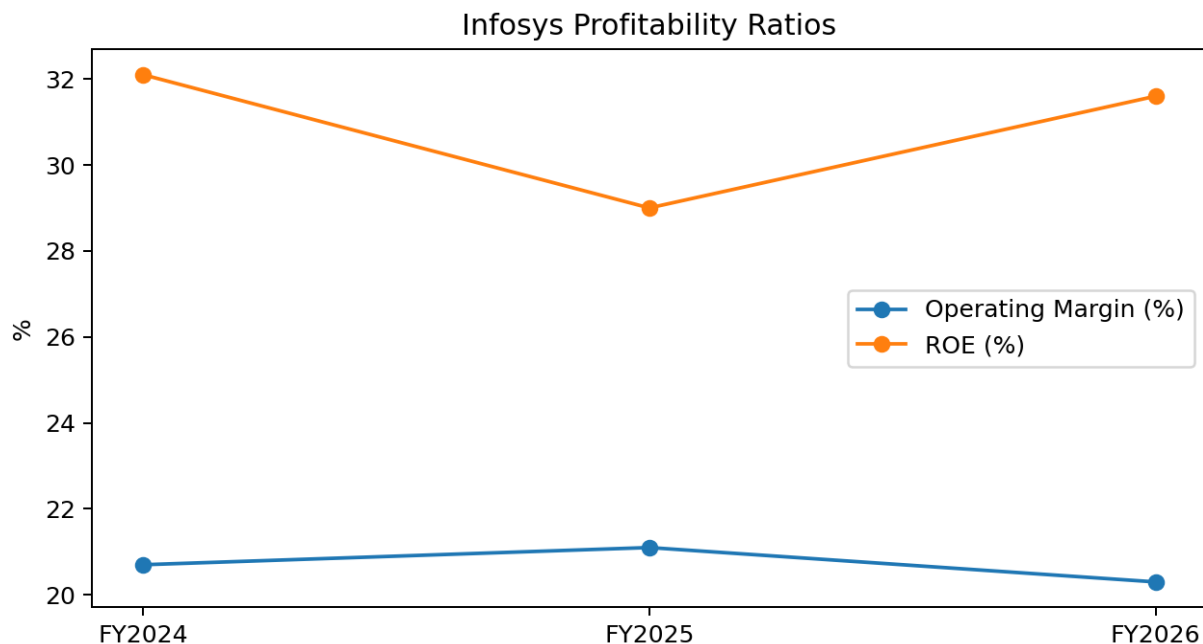
2.3 Cash Flow Analysis

Infosys reported FY2026 free cash flow of ₹33,097 crore, with free cash flow conversion of 112.3% of net profit. Cash flows are analyzed through operating, investing and financing activities.

Strong free cash flow indicates substantial cash generation relative to reported earnings and provides capacity for dividends, investments, business requirements and capital returns.

2.4 Financial Ratios

Ratio	FY2024	FY2025	FY2026
Operating Margin	20.7%	21.1%	20.3%
Net Profit Margin	17.1%	16.4%	16.5%
ROE	32.1%	29.0%	31.6%
PE (year-end)	23.6	24.4	17.5
Dividend/share (₹)	46.00	43.00	48.00
Book Value/share (₹)	213	231	229



Interpretation: Net profit margin improved slightly from 16.4% to 16.5%, while ROE increased from 29.0% to 31.6%. Operating margin declined from 21.1% to 20.3%, which is an area to monitor.

2.5 Key Findings

- **Revenue growth:** Revenue reached ■178,650 crore in FY2026, growing 9.6% year-over-year.
- **Profit growth:** Net profit attributable to owners increased 10.2% in FY2026.
- **EPS growth:** Basic EPS increased 11.0% to ■71.58.
- **Cash generation:** FY2026 free cash flow was ■33,097 crore.
- **Return on equity:** ROE improved to 31.6%.
- **Margin observation:** Operating margin decreased from 21.1% to 20.3%, despite strong revenue growth.

2.6 Conclusion

The financial analysis of Infosys Limited for FY2024–FY2026 indicates overall positive financial performance. Revenue increased consistently from ■153,670 crore in FY2024 to ■178,650 crore in FY2026, while net profit and EPS also improved. The company maintained a strong liquidity position and generated substantial free cash flow in FY2026. Profitability remained healthy, with a FY2026 net profit margin of 16.5% and ROE of 31.6%. However, the decline in operating margin from 21.1% to 20.3% is an area worth monitoring. Overall, the statements demonstrate how a Data Analyst can use financial data and ratios to identify trends, measure performance and communicate business insights.

Sources

1. Infosys, Three Year Overview (IFRS) – P&L; Data and Ratios.
2. Infosys, Three Year Overview (IFRS) – Balance Sheet Data and Ratios.
3. Infosys Integrated Annual Report 2025–26.
4. Infosys FY2026 Financial Results and Additional Information.

Note: This document is prepared for educational and internship-assessment purposes. It is not investment or trading advice.